

Clark County, Arkansas

Financial and Compliance Report

December 31, 2018

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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Financial and Compliance Report

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Arkansas

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Senate Vice Chair



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Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

Financial and Compliance Report

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

A priority of Arkansas Legislative Audit is to assist county government officials by promoting sound financial management and accountability of government resources. The Legislative Auditor reports on the fiscal affairs of county governments, as well as compliance with relevant state laws and observance of good business practices to provide accountability for tax dollars expended to support government operations.

We have performed certain limited procedures with respect to regulatory basis financial information and compliance with certain state laws and accepted accounting practices for Clark County, Arkansas, as of and for the year ended December 31, 2018, and have issued our report thereon dated February 11, 2020. Management of the County is responsible for maintaining the financial records and complying with state laws and accepted accounting practices.

The findings contained in this section relate to the following officials who held office during 2018:

County Judge: Troy Tucker
Treasurer: Karen Arnold
Sheriff and Tax Collector: Jason Watson
County Clerk: Rhonda Cole
Circuit Clerk: Brian Daniel
Assessor: Lanna Clark
County Librarian: Ashley Graves
District Court Clerk: Staci Huber

We evaluated the County's compliance with certain state laws concerning general and district court accounting, budgeting, purchasing, and investing and depositing of public funds.

Noncompliance with state law and accepted accounting practices was noted in the offices of **Sheriff** and **District Court Clerk**.

Sheriff

The Commissary account ending bank balance was not properly reconciled to the ending book balance, in noncompliance with Ark. Code Ann. §§ 14-25-107. Additionally, ending cash balances were not identified with inmate account balances. A similar finding was noted for the previous five reports dating back to 2013.

The Sheriff's Office did not pay over to the county treasurer on the first of each month, or within ten working days thereafter all funds belonging to the county from the commissary account in noncompliance with, Ark. Code Ann. § 26-39-201. The finding was noted for the previous three reports dating back to 2015.

Pre-numbered checks were not used for drug enforcement fund disbursements to designated officer for cash on hand in noncompliance with, Ark. Code Ann. §§ 14-21-201 – 204. A similar finding was noted for the previous four reports dating back to 2014.

The following Information Systems weaknesses were noted during a review of computers:

Sheriff

The Disaster Recovery Plan in place was inadequate (both technical and end user) for restoring from short-term or long-term interruptions of computer processing. This situation could cause the entity to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the entity.

There was no formally documented and approved Business Continuity Plan. A disruption in technology and automated information systems could have a severe impact on critical resources and affect essential services.

Network and Tiger – Management had no process to periodically review appropriate access security. The lack of adequate supervisory oversight of user security permissions increases the risk of unauthorized access and misuse of information resources.

Network – Password controls did not meet minimum industry standards. The minimum number of characters required for passwords was below industry standards. Passwords were not required to be changed after initial logon or on a periodic, recurring basis that did not exceed 90 days. Passwords were not required to contain a mixture of alpha and numeric characters. A password history file was not maintained to prevent re-use of previous passwords. User accounts were not locked after three unsuccessful login attempts. Failure to establish proper password controls increases the likelihood that an unauthorized person could gain access to the system.

The following Information Systems weaknesses were noted during a review of computers: (Continued)

Sheriff (Continued)

Tiger – Management had no process to periodically review and approve data changes and deletions. Without adequate supervisory oversight of changes to information, erroneous or unauthorized transactions are less likely to be detected.

Tiger – Data integrity controls were inadequate, specifically related to the software vendor making changes to historical transaction data. The changes undermined the integrity of historical deposit dates and cash flow timing reported by the system. Modification of dates within application tables could corrupt application processing and lead to inaccurate reporting of results.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in black ink, appearing to read "Roger A. Norman". The signature is fluid and cursive, with a large initial "R" and "N".

Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

Little Rock, Arkansas
February 11, 2020

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Exhibit A

	General	Road	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 3,170,671	\$ 4,295,261	\$ 4,555,766
Accounts receivable	598,928	162,778	255,871
Interfund receivables			41,565
	<u>3,769,599</u>	<u>4,458,039</u>	<u>4,853,202</u>
TOTAL ASSETS	<u>\$ 3,769,599</u>	<u>\$ 4,458,039</u>	<u>\$ 4,853,202</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 93,680	\$ 89,921	\$ 169,435
Interfund payables	41,565		
Settlements pending			1,130,422
Total Liabilities	<u>135,245</u>	<u>89,921</u>	<u>1,299,857</u>
Fund Balances:			
Restricted	168,355	4,368,118	3,203,316
Committed	270,166		291,904
Assigned	892,168		58,125
Unassigned	2,303,665		
Total Fund Balances	<u>3,634,354</u>	<u>4,368,118</u>	<u>3,553,345</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 3,769,599</u>	<u>\$ 4,458,039</u>	<u>\$ 4,853,202</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2018
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 621,715	\$ 1,563,093	\$ 135,156
Federal aid	129,951	6,116	11,733
Property taxes	955,049	215,105	517,389
Sales taxes	1,729,842	1,563,511	1,696,576
Fines, forfeitures, and costs	504,378		184,955
Interest	16,625	28,019	21,418
Officers' fees	57,271		131,086
Sanitation fees	469,573		
911 surcharges			269,330
Prisoner care	107,460		
Phone commissions and commissary			17,978
Donations	167,520		222,791
Treasurer's commission	114,067		22,651
Collector's commission	181,334		56,548
Taxes apportioned - Assessor's salary and expense	345,147		
Other	308,035	58,791	33,937
TOTAL REVENUES	5,707,967	3,434,635	3,321,548
Less: Treasurer's commission	50,983	41,070	15,207
NET REVENUES	5,656,984	3,393,565	3,306,341
EXPENDITURES			
Current:			
General government	1,674,568		141,362
Law enforcement	2,858,794		708,614
Highways and streets		3,594,031	
Public safety	51,717		182,578
Sanitation	684,539		
Health	69,081		
Recreation and culture	12,632		310,628
Social services	99,777		
Total Current	5,451,108	3,594,031	1,343,182
Debt Service:			
Lease principal	38,165		
Lease interest	5,963		
TOTAL EXPENDITURES	5,495,236	3,594,031	1,343,182

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2018
(UNAUDITED)

	<u>General</u>	<u>Road</u>	<u>Other Funds in the Aggregate</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ 161,748</u>	<u>\$ (200,466)</u>	<u>\$ 1,963,159</u>
OTHER FINANCING SOURCES (USES)			
Transfers in			50,565
Transfers out	(50,565)		
Sales taxes remitted to Economic Development Corporation			<u>(1,658,791)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>(50,565)</u>		<u>(1,608,226)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	111,183	(200,466)	354,933
FUND BALANCES - JANUARY 1	<u>3,523,171</u>	<u>4,568,584</u>	<u>3,198,412</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 3,634,354</u></u>	<u><u>\$ 4,368,118</u></u>	<u><u>\$ 3,553,345</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2018
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 640,330	\$ 621,715	\$ (18,615)	\$ 1,257,709	\$ 1,563,093	\$ 305,384
Federal aid	58,000	129,951	71,951	13,680	6,116	(7,564)
Property taxes	847,000	955,049	108,049	169,200	215,105	45,905
Sales taxes	1,555,000	1,729,842	174,842	1,260,000	1,563,511	303,511
Fines, forfeitures, and costs	309,700	504,378	194,678			
Interest	13,200	16,625	3,425	16,200	28,019	11,819
Officers' fees	59,100	57,271	(1,829)			
Sanitation fees	370,000	469,573	99,573			
Prisoner care	81,000	107,460	26,460			
Donations		167,520	167,520			
Treasurer's commission	130,000	114,067	(15,933)			
Collector's commission	165,000	181,334	16,334			
Taxes apportioned - Assessor's salary and expense	300,000	345,147	45,147			
Other	363,782	308,035	(55,747)	65,053	58,791	(6,262)
TOTAL REVENUES	4,892,112	5,707,967	815,855	2,781,842	3,434,635	652,793
Less: Treasurer's commission		50,983	(50,983)		41,070	(41,070)
NET REVENUES	4,892,112	5,656,984	764,872	2,781,842	3,393,565	611,723
EXPENDITURES						
Current:						
General government	1,961,696	1,674,568	287,128			
Law enforcement	2,957,610	2,858,794	98,816			
Highways and streets				4,547,031	3,594,031	953,000
Public safety	58,129	51,717	6,412			
Sanitation	983,490	684,539	298,951			
Health	75,000	69,081	5,919			
Recreation and culture	22,000	12,632	9,368			
Social services	113,248	99,777	13,471			
Total Current	6,171,173	5,451,108	720,065	4,547,031	3,594,031	953,000
Debt Service:						
Lease principal		38,165	(38,165)			
Lease interest		5,963	(5,963)			
TOTAL EXPENDITURES	6,171,173	5,495,236	675,937	4,547,031	3,594,031	953,000

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2018
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (1,279,061)</u>	<u>\$ 161,748</u>	<u>\$ 1,440,809</u>	<u>\$ (1,765,189)</u>	<u>\$ (200,466)</u>	<u>\$ 1,564,723</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	30,000		(30,000)			
Transfers out	<u>(46,565)</u>	<u>(50,565)</u>	<u>(4,000)</u>			
TOTAL OTHER FINANCING SOURCES (USES)	<u>(16,565)</u>	<u>(50,565)</u>	<u>(34,000)</u>			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(1,295,626)	111,183	1,406,809	(1,765,189)	(200,466)	1,564,723
FUND BALANCES - JANUARY 1	<u>2,320,000</u>	<u>3,523,171</u>	<u>1,203,171</u>	<u>3,375,000</u>	<u>4,568,584</u>	<u>1,193,584</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 1,024,374</u></u>	<u><u>\$ 3,634,354</u></u>	<u><u>\$ 2,609,980</u></u>	<u><u>\$ 1,609,811</u></u>	<u><u>\$ 4,368,118</u></u>	<u><u>\$ 2,758,307</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS								
	Various Fire Departments	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library
ASSETS									
Cash and cash equivalents		\$ 49,390	\$ 376,861	\$ 6,332	\$ 53,435	\$ 40,221	\$ 13,700	\$ 99,027	\$ 428,557
Accounts receivable	\$ 3,012	2,365	56,567	304	783	46	732	8,883	9,932
Interfund receivables									
TOTAL ASSETS	<u>\$ 3,012</u>	<u>\$ 51,755</u>	<u>\$ 433,428</u>	<u>\$ 6,636</u>	<u>\$ 54,218</u>	<u>\$ 40,267</u>	<u>\$ 14,432</u>	<u>\$ 107,910</u>	<u>\$ 438,489</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable		\$ 1,661	\$ 680		\$ 10			\$ 4,046	\$ 3,020
Settlements pending									
Total Liabilities		<u>1,661</u>	<u>680</u>		<u>10</u>			<u>4,046</u>	<u>3,020</u>
Fund Balances:									
Restricted	\$ 3,012	50,094	432,748	\$ 6,636	54,208	\$ 40,267	\$ 14,432	103,864	411,310
Committed									
Assigned									24,159
Total Fund Balances	<u>3,012</u>	<u>50,094</u>	<u>432,748</u>	<u>6,636</u>	<u>54,208</u>	<u>40,267</u>	<u>14,432</u>	<u>103,864</u>	<u>435,469</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 3,012</u>	<u>\$ 51,755</u>	<u>\$ 433,428</u>	<u>\$ 6,636</u>	<u>\$ 54,218</u>	<u>\$ 40,267</u>	<u>\$ 14,432</u>	<u>\$ 107,910</u>	<u>\$ 438,489</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 1

SPECIAL REVENUE FUNDS

	Support Collection Costs	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court	Public Safety
ASSETS									
Cash and cash equivalents	\$ 24,144	\$ 8,924	\$ 197,897	\$ 13,280	\$ 1,211,329	\$ 33,133	\$ 327,415	\$ 5,097	\$ 1,308
Accounts receivable	52	243	4,311	19	3,940	8,629	5,258	243	26
Interfund receivables									
TOTAL ASSETS	\$ 24,196	\$ 9,167	\$ 202,208	\$ 13,299	\$ 1,215,269	\$ 41,762	\$ 332,673	\$ 5,340	\$ 1,334
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable			\$ 9,114	\$ 1,000	\$ 82		\$ 260	\$ 40	
Settlements pending									
Total Liabilities			9,114	1,000	82		260	40	
Fund Balances:									
Restricted	\$ 24,196	\$ 9,167	159,128	12,299	1,215,187	\$ 41,762	332,413	5,300	\$ 1,334
Committed									
Assigned			33,966						
Total Fund Balances	24,196	9,167	193,094	12,299	1,215,187	41,762	332,413	5,300	1,334
TOTAL LIABILITIES AND FUND BALANCES	\$ 24,196	\$ 9,167	\$ 202,208	\$ 13,299	\$ 1,215,269	\$ 41,762	\$ 332,673	\$ 5,340	\$ 1,334

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS									
	Juvenile Division	Voting System Grant	Circuit Clerk Commissioner's Fee	Assessor's Late Fee	Drug Enforcement	Clark County Marina	Jail Maintenance	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services	Communication Facility and Equipment
ASSETS										
Cash and cash equivalents	\$ 1,852	\$ 12	\$ 5,151	\$ 1,373	\$ 5,707	\$ 52,509	\$ 101,033		\$ 49,555	\$ 33,163
Accounts receivable	3		105	38		2,725	10,079	\$ 137,576		
Interfund receivables							41,565			
TOTAL ASSETS	<u>\$ 1,855</u>	<u>\$ 12</u>	<u>\$ 5,256</u>	<u>\$ 1,411</u>	<u>\$ 5,707</u>	<u>\$ 55,234</u>	<u>\$ 152,677</u>	<u>\$ 137,576</u>	<u>\$ 49,555</u>	<u>\$ 33,163</u>
LIABILITIES AND FUND BALANCES										
Liabilities:										
Accounts payable						\$ 3,810	\$ 145,712			
Settlements pending										
Total Liabilities						<u>3,810</u>	<u>145,712</u>			
Fund Balances:										
Restricted	\$ 1,855	\$ 12	\$ 5,256	\$ 1,411	\$ 5,707	51,424		\$ 137,576	\$ 49,555	\$ 33,163
Committed							6,965			
Assigned										
Total Fund Balances	<u>1,855</u>	<u>12</u>	<u>5,256</u>	<u>1,411</u>	<u>5,707</u>	<u>51,424</u>	<u>6,965</u>	<u>137,576</u>	<u>49,555</u>	<u>33,163</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 1,855</u>	<u>\$ 12</u>	<u>\$ 5,256</u>	<u>\$ 1,411</u>	<u>\$ 5,707</u>	<u>\$ 55,234</u>	<u>\$ 152,677</u>	<u>\$ 137,576</u>	<u>\$ 49,555</u>	<u>\$ 33,163</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 1

	CAPITAL PROJECTS FUND	AGENCY FUNDS							
	Jail Construction	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge Account	District Court Accounts	Totals
ASSETS									
Cash and cash equivalents	\$ 284,939	\$ 780,010	\$ 79,882	\$ 33,281	\$ 125,572	\$ 33,539	\$ 27,667	\$ 50,471	\$ 4,555,766
Accounts receivable									255,871
Interfund receivables									41,565
TOTAL ASSETS	<u>\$ 284,939</u>	<u>\$ 780,010</u>	<u>\$ 79,882</u>	<u>\$ 33,281</u>	<u>\$ 125,572</u>	<u>\$ 33,539</u>	<u>\$ 27,667</u>	<u>\$ 50,471</u>	<u>\$ 4,853,202</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable									\$ 169,435
Settlements pending		\$ 780,010	\$ 79,882	\$ 33,281	\$ 125,572	\$ 33,539	\$ 27,667	\$ 50,471	1,130,422
Total Liabilities		<u>780,010</u>	<u>79,882</u>	<u>33,281</u>	<u>125,572</u>	<u>33,539</u>	<u>27,667</u>	<u>50,471</u>	<u>1,299,857</u>
Fund Balances:									
Restricted									3,203,316
Committed	\$ 284,939								291,904
Assigned									58,125
Total Fund Balances	<u>284,939</u>								<u>3,553,345</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 284,939</u>	<u>\$ 780,010</u>	<u>\$ 79,882</u>	<u>\$ 33,281</u>	<u>\$ 125,572</u>	<u>\$ 33,539</u>	<u>\$ 27,667</u>	<u>\$ 50,471</u>	<u>\$ 4,853,202</u>

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2018
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS								
	Various Fire Departments	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library
REVENUES									
State aid						\$ 5,578			\$ 96,414
Federal aid					\$ 11,733				
Property taxes									254,885
Sales taxes	\$ 33,266								
Fines, forfeitures, and costs					13,435				
Interest		\$ 242	\$ 2,344	\$ 29	332	248	\$ 54	\$ 504	852
Officers' fees				5,020			11,578	101,696	
911 surcharges									
Phone commissions and commissary									
Donations									222,791
Treasurer's commission		22,651							
Collector's commission			56,548						
Other	261				1		515	11,034	1,975
TOTAL REVENUES	33,527	22,893	58,892	5,049	25,501	5,826	12,147	113,234	576,917
Less: Treasurer's commission	664	3	28	62	174	70	144	1,361	3,403
NET REVENUES	32,863	22,890	58,864	4,987	25,327	5,756	12,003	111,873	573,514
EXPENDITURES									
Current:									
General government		18,264	33,945				12,731	74,333	
Law enforcement				1,628	31,529				
Public safety	32,692								
Recreation and culture									306,818
TOTAL EXPENDITURES	32,692	18,264	33,945	1,628	31,529		12,731	74,333	306,818
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	171	4,626	24,919	3,359	(6,202)	5,756	(728)	37,540	266,696
OTHER FINANCING SOURCES (USES)									
Transfers in									4,000
Sales taxes remitted to Economic Development Corporation									
TOTAL OTHER FINANCING SOURCES (USES)									4,000
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	171	4,626	24,919	3,359	(6,202)	5,756	(728)	37,540	270,696
FUND BALANCES - JANUARY 1	2,841	45,468	407,829	3,277	60,410	34,511	15,160	66,324	164,773
FUND BALANCES - DECEMBER 31	\$ 3,012	\$ 50,094	\$ 432,748	\$ 6,636	\$ 54,208	\$ 40,267	\$ 14,432	\$ 103,864	\$ 435,469

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2018
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS								
	Support Collection Costs	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court	Public Safety
REVENUES									
State aid				\$ 2,347			\$ 2,034		
Federal aid									
Property taxes									
Sales taxes									
Fines, forfeitures, and costs		\$ 1,397	\$ 82,929			\$ 51,153	31,751	\$ 4,173	\$ 117
Interest	\$ 142	61	4,394	78	\$ 7,108	208	2,005	35	8
Officers' fees	6,442								
911 surcharges					269,330				
Phone commissions and commissary									
Donations									
Treasurer's commission									
Collector's commission									
Other					309				
TOTAL REVENUES	6,584	1,458	87,323	2,425	276,747	51,361	35,790	4,208	125
Less: Treasurer's commission	80	17	1,113	29	3,402	533	358	50	1
NET REVENUES	6,504	1,441	86,210	2,396	273,345	50,828	35,432	4,158	124
EXPENDITURES									
Current:									
General government	2,089								
Law enforcement		2,944	46,397	2,051		45,707	24,987	3,853	
Public safety					136,039				
Recreation and culture									
TOTAL EXPENDITURES	2,089	2,944	46,397	2,051	136,039	45,707	24,987	3,853	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	4,415	(1,503)	39,813	345	137,306	5,121	10,445	305	124
OTHER FINANCING SOURCES (USES)									
Transfers in									
Sales taxes remitted to Economic Development Corporation									
TOTAL OTHER FINANCING SOURCES (USES)									
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	4,415	(1,503)	39,813	345	137,306	5,121	10,445	305	124
FUND BALANCES - JANUARY 1	19,781	10,670	153,281	11,954	1,077,881	36,641	321,968	4,995	1,210
FUND BALANCES - DECEMBER 31	\$ 24,196	\$ 9,167	\$ 193,094	\$ 12,299	\$ 1,215,187	\$ 41,762	\$ 332,413	\$ 5,300	\$ 1,334

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2018
(UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS								
	Juvenile Division	Voting System Grant	Circuit Clerk Commissioner's Fee	Assessor's Late Fee	Drug Enforcement	Clark County Marina	Jail Maintenance	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services
REVENUES									
State aid							\$ 28,783		
Federal aid									
Property taxes				\$ 882			261,622		
Sales taxes								\$ 1,663,310	
Fines, forfeitures, and costs									
Interest	\$ 49		\$ 31	6		\$ 270	549		\$ 306
Officers' fees	440		477						
911 surcharges									
Phone commissions and commissary									
Donations									
Treasurer's commission									
Collector's commission									
Other						19,842			
TOTAL REVENUES	489		508	888		20,112	290,954	1,663,310	306
Less: Treasurer's commission	5		13			235	3,462		
NET REVENUES	484		495	888		19,877	287,492	1,663,310	306
EXPENDITURES									
Current:									
General government									
Law enforcement	11,123				\$ 3,100		437,325		
Public safety									
Recreation and culture						3,810			
TOTAL EXPENDITURES	11,123				3,100	3,810	437,325		
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(10,639)		495	888	(3,100)	16,067	(149,833)	1,663,310	306
OTHER FINANCING SOURCES (USES)									
Transfers in					5,000		41,565		
Sales taxes remitted to Economic Development Corporation								(1,658,791)	
TOTAL OTHER FINANCING SOURCES (USES)					5,000		41,565	(1,658,791)	
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(10,639)		495	888	1,900	16,067	(108,268)	4,519	306
FUND BALANCES - JANUARY 1	12,494	\$ 12	4,761	523	3,807	35,357	115,233	133,057	49,249
FUND BALANCES - DECEMBER 31	\$ 1,855	\$ 12	\$ 5,256	\$ 1,411	\$ 5,707	\$ 51,424	\$ 6,965	\$ 137,576	\$ 49,555

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2018
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS		CAPITAL PROJECTS FUND	
	DeGray Fire Department Grant	Communication Facility and Equipment	Jail Construction	Totals
REVENUES				
State aid				\$ 135,156
Federal aid				11,733
Property taxes				517,389
Sales taxes				1,696,576
Fines, forfeitures, and costs				184,955
Interest		\$ 50	\$ 1,513	21,418
Officers' fees		5,433		131,086
911 surcharges				269,330
Phone commissions and commissary		17,978		17,978
Donations				222,791
Treasurer's commission				22,651
Collector's commission				56,548
Other				33,937
TOTAL REVENUES		23,461	1,513	3,321,548
Less: Treasurer's commission				15,207
NET REVENUES		23,461	1,513	3,306,341
EXPENDITURES				
Current:				
General government				141,362
Law enforcement		42,500	55,470	708,614
Public safety	\$ 13,847			182,578
Recreation and culture				310,628
TOTAL EXPENDITURES	13,847	42,500	55,470	1,343,182
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(13,847)	(19,039)	(53,957)	1,963,159
OTHER FINANCING SOURCES (USES)				
Transfers in				50,565
Sales taxes remitted to Economic Development Corporation				(1,658,791)
TOTAL OTHER FINANCING SOURCES (USES)				(1,608,226)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(13,847)	(19,039)	(53,957)	354,933
FUND BALANCES - JANUARY 1	13,847	52,202	338,896	3,198,412
FUND BALANCES - DECEMBER 31	\$ 0	\$ 33,163	\$ 284,939	\$ 3,553,345

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2018

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Various Fire Departments	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive 1% of the proceeds from the 1% county wide sales tax through a special election and to distribute the funds equally among the rural fire departments of Clark County.
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated accounting and record keeping system.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive Circuit Court installment fees to be used for Circuit Court-related technology and to defray the cost of fine collection.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees to be used solely for District Court-related technology.
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that 1% of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the costs of administering Ark. Const. amend. 79.
County Clerk's Cost	Ark. Code Ann. §§ 21-6-413, 16-20-407 established fund to receive at least 35% of fees collected by county clerks to be used to purchase, maintain, and operate an automated records system, and to account for a \$2 marriage license fee to be used for operation of the County Clerk's office.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive at least 25% of the fees collected by circuit clerks to be used to purchase, maintain, and operate automated records system.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for property tax millage levied by the Quorum Court for the support, operation, and maintenance of the public library.
Support Collection Costs	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2018

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. Clark County Ordinance no. 2009-2 (June 9, 2009) (pursuant to Ark. Code Ann. § 16-17-129) levies an additional fine, not exceed \$20. Funds shall be used exclusively to defray the cost of incarcerating county prisoners; construction, maintenance, and operation of the county jail; purchase and maintenance of jail equipment; and training, salaries, and certificate pay for jailers and deputy sheriffs.
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
CMRS 911 Board (Commercial Mobile Radio Service)	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by commercial mobile radio service providers for 911 emergency services.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court costs levied to be used by Prosecuting Attorney for operating victim/witness program.
Public Defender	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents. Ark. Code Ann. § 17-19-301 authorized a bail bond fee of \$20 to be collected, which shall all be remitted to the Arkansas Public Defender Commission. Three dollars of each fee is remitted back to the county quarterly to be used to defray the operating expenses of the public defender office.
Drug Court	Ark. Code Ann. § 16-98-304 established fund to receive program user fees set by Drug Court Judges to be used for the benefit and administration of the Drug Court program.
Public Safety	Ark. Code Ann. § 27-34-108 established fund to receive 25% of the District Court fines collected for violations of the Child Passenger Protection Act to be used solely for promotion of public safety.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2018

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Juvenile Division	Ark. Code Ann. §§ 16-13-326, 9-27-367 established fund to receive juvenile fees, court costs, and fines to provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Voting System Grant	Ark. Code Ann. § 19-5-1247 and Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive grants from the County Voting System Grant Fund to purchase voting system equipment, programming and maintenance.
Circuit Clerk Commissioner's Fee	Ark. Code Ann. § 21-6-412 established fund to receive fee awarded, when appointed as Commissioner, for a sale of real or personal property under judicial decree. The funds are to be used to offset administrative costs associated with the performance of the Commissioner's duties and for general operations expenses of the office of Circuit Clerk.
Assessor's Late Fee	Ark. Code Ann. § 26-26-201 established fund to receive additional fifty cents for each delinquent list and utilized by the county assessor to help pay for the expense of assessing property.
Drug Enforcement	Ark. Code Ann. § 14-21-201 established fund for direct expenses associated with the investigation of the criminal drug laws. Source of all funds shall be appropriated by the quorum court.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Economic Development Corporation of Clark County (EDCCC)	Established to receive and remit a one-half cent sales and use tax to EDCCC to be used solely for economic development. The sales tax was approved by voters on June 12, 2007, for a period of seven years, and subsequently, on March 11, 2014, for an additional seven year period.
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2018

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
DeGray Fire Department Grant	DeGray Fire Department received a grant through the County from the Arkansas Rural Development Commission, and the Arkansas Economic Development Commission Division of Rural Services for public safety expenditures.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.

Treasurer's accounts consist primarily of property taxes, treasurer's commission, collector's commission, and interest not distributed to the appropriate agencies.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees settlement, bond, evidence, and inmate trust money.

County Clerk's accounts consist primarily of trust money.

Circuit Clerk's accounts consist of trust money and settlements due to the treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

District Court accounts consist primarily of fines and costs not yet distributed to the county and/or state.

CLARKCOUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2018
(UNAUDITED)

1. A. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Ark. Code Ann. § 10-4-412. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

The regulatory basis of presentation is not in accordance with generally accepted accounting principles (GAAP). GAAP require that basic financial statements present government-wide and fund financial statements. Additionally, GAAP require the following major concepts: Management's Discussion and Analysis, separate financial statements for fiduciary fund types, specific procedures for the identification of major governmental funds, and applicable note disclosures. The regulatory basis of presentation does not require government-wide financial statements or the previously identified concepts.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Road Fund - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Special Revenue Funds presented on Schedules 1 and 2 are reported with other funds in the aggregate.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlay, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund presented on Schedules 1 and 2 is reported with other funds in the aggregate.

Agency Funds - Agency Funds are used to report resources held by the reporting government in a purely custodial capacity (assets equal liabilities). The Agency Funds presented on Schedule 1 are reported with other funds in the aggregate.

B. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Ark. Code Ann. § 10-4-412. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues generally are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. However, most state aid received from the State Treasury is by state law revenue of the year in which it was received by the government. Expenditures generally are recorded when a liability is incurred. Liabilities incurred by the government on or before the end of the current period that are paid within 60 days of the end of the current period, are considered to be expenditures of the current period. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

CLARKCOUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2018
(UNAUDITED)

1. (Continued)

B. Basis of Accounting (Continued)

The regulatory basis of accounting is not in accordance with generally accepted accounting principles (GAAP). GAAP require the following major concepts: Accrual basis of accounting for government-wide financial statements, including depreciation expense, modified accrual basis of accounting for fund financial statements, separate identification of special and extraordinary items, inclusion of capital assets and debt in the financial statements, inclusion of the net pension liability in the financial statements, and applicable note disclosures. The regulatory basis of accounting does not require the previously identified concepts.

C. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts, and certificates of deposit.

Settlements Pending

Settlements pending are considered fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

D. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

E. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other operating funds.

CLARKCOUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2018
(UNAUDITED)

1. (Continued)

F. Fund Balance Classification Policies and Procedures

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

For classification of fund balance amounts, restricted resources are considered spent before unrestricted. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

2. **Details of Fund Balance Classifications**

Fund balance classifications at December 31, 2018, are composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Fund Balances:			
Restricted for:			
General government			\$ 809,856
Law enforcement			697,519
Highways and streets		\$ 4,368,118	
Public safety			1,233,207
Recreation and culture	\$ 168,355		462,734
Total Restricted	<u>168,355</u>	<u>4,368,118</u>	<u>3,203,316</u>
Committed for:			
General government	270,166		
Law enforcement			6,965
Capital outlay			284,939
Total Committed	<u>270,166</u>		<u>291,904</u>
Assigned to:			
Law enforcement			33,966
Sanitation	892,168		
Recreation and culture			24,159
Total Assigned	<u>892,168</u>		<u>58,125</u>
Unassigned	<u>2,303,665</u>		
Totals	<u>\$ 3,634,354</u>	<u>\$ 4,368,118</u>	<u>\$ 3,553,345</u>

3. **Commitments**

Total commitments consist of the following at December 31, 2018:

	December 31, 2018
Long-term liabilities	\$ 997,713
Reappraisal contract	<u>329,600</u>
Total Commitments	<u>\$ 1,327,313</u>

CLARKCOUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2018
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3. Commitments (Continued)

Long-term Liabilities

Long-term liabilities at December 31, 2018, are comprised of the following:

	December 31, 2018
Landfill closure and post closure care costs	\$ 711,458
Lease-purchase agreement with Bancorp South bank on the purchase of (2) 2018 Mack sanitation trucks with interest at 3.19%. Monthly payments of \$5,516 beginning May 21, 2018 for 30 months and a single payment of \$150,000 at the end of the lease. Payments are to be made from the Sanitation Fund.	258,835
Compensated absences consting of accrued vacation and sick leave adjusted to current salary cost.	<u>27,420</u>
Total Long-term liabilities	<u><u>\$ 997,713</u></u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Cost

Clark County is the owner of permit #044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs have been recognized as a commitment each year based on landfill capacity used as of the balance sheet date.

The estimated commitment for the landfill closure and postclosure care costs is \$711,458 as of December 31, 2018, and represents the cumulative amount reported to date of \$596,711 based on 85% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$114,747 as the remaining estimated capacity is filled. The area has an estimated remaining volume of 42,403 cubic yards which is estimated to exhaust six years from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2018. However, the actual costs of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated April 11, 2018, in the amount of \$423,516 and in accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$218,279 in the form of a Contract of Obligation dated April 19, 2018. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$218,279 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly close the disposal operation.

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

CLARKCOUNTY, ARKANSAS
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3. Commitments (Continued)

Debt Service Requirements to Maturity

The County is obligated for the following amounts at December 31, 2018.

Years Ending December 31,	Leases
2019	\$ 66,192
2020	205,160
Total Obligations	271,352
Less Interest	12,517
Total Principal	\$ 258,835

Reappraisal Contract

The County entered into a contract dated September 25, 2015, with Total Assessment Solutions Corporation for reappraisal services. The terms of the contract require \$824,000 to be paid in 60 monthly installments of \$13,733 beginning January 15, 2016.

The County is obligated for the following amounts at December 31, 2018:

Year	December 31, 2018
2019	\$ 164,800
2020	164,800
Total	\$ 329,600

Reappraisal expense for 2018 was \$164,800.

4. Interfund Transfers

The General Fund transferred \$50,565 to Other Funds in the Aggregate (County Library, Drug Enforcement, and Jail Maintenance) for operating purposes.

5. Related Party Transactions

The County paid Southwest Probation Services \$29,901 for probation services in 2018. Sheriff's part-time deputy, Brady Harmon, owns Southwest Probation Services. On May 11, 2015, the County established Clark County Ordinance no. 2015-04 authorizing payment of services to Southwest Probation Services.

The County paid Clark County District Court Judge Randy Hill \$10,200 to rent office space for the Public Defender in 2018. On October 15, 2013, the County established Clark County Ordinance no. 2013-10 authorizing a lease agreement between the Public Defender and Clark County District Court Judge Randy Hill.

The County paid Bonner Plumbing Contractors \$49,917 for plumbing repairs in the Clark County Jail in 2018. Sheriff's part-time deputy, Pete Bonner, owns Bonner Plumbing Contractors. On March 12, 2018, the County established Clark County Ordinance no. 2018-04 authorizing payment of services to Bonner Plumbing Contractors.

CLARKCOUNTY, ARKANSAS
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6. Jointly Governed Organization

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Group "6" Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth (East) Judicial Districts, the Sheriffs' Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. The agreement covers the period August 16, 2018 to June 30, 2019, and may be extended upon written mutual agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2018. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

C. Southwest Arkansas Regional Intermodal Authority

Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, and Amity entered into an agreement on May 18, 2010, to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of eighteen members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. No payments were made by the County to the Southwest Regional Intermodal Authority other than the annual membership dues of \$2,000. Separate financial statements for the Southwest Arkansas Regional Intermodal Authority are not available.

D. Southwest Central Regional Solid Waste Management District

Pursuant to Act 752 of the Acts of Arkansas of 1991, the Southwest Central Regional Solid Waste Management District and Board were organized to protect public health and environmental quality for its service area by establishing a regional solid waste management system in the Arkansas Counties of Clark, Garland, and Hot Spring. The District's board of directors is composed in accordance with the requirements of the Act and is comprised of representatives of the counties in the District and representatives of all first class cities, of all cities with a population over 2,000 and of the largest city of each county in the District. The County made no contributions to or disbursements on behalf of the District in 2018. The District paid Clark County \$11,634 for landfill services in 2018. All financial transactions are between the District and the Hot Spring County Solid Waste Authority, Inc. Separate financial statements of the Southwest Central Regional Solid Waste Management District are available at 1000 Central Avenue, Hot Springs, AR, 71903.

CLARKCOUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2018
(UNAUDITED)

7. Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (APERS), a cost-sharing multiple-employer defined benefit pension plan. APERS, administered by a Board of Trustees, provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for APERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, 124 W. Capitol, Suite 400, Little Rock, Arkansas 72201, by calling 1-800-682-7377, or on their website www.apers.org.

Funding Policy

APERS has contributory and non-contributory plans. Contributory members are required by State law to contribute 5% of their salary. Each participating employer is required by State law to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation. The County's contributions to the plan for the year ended June 30, 2018 were \$522,925.

Net Pension Liability

The requirements of Governmental Accounting Standards Board Statement no. 68, under the regulatory basis of accounting, is limited to disclosure of the County's share of the collective net pension liability. The County's proportionate share of the collective net pension liability at June 30, 2018 was \$4,175,213.

8. Capital Assets

The County's fixed asset records are summarized below:

	December 31, 2018
Land	\$ 638,274
Buildings	6,671,146
Infrastructure	169,741
Improvements	224,472
Equipment	<u>9,879,711</u>
Total	<u>\$ 17,583,344</u>

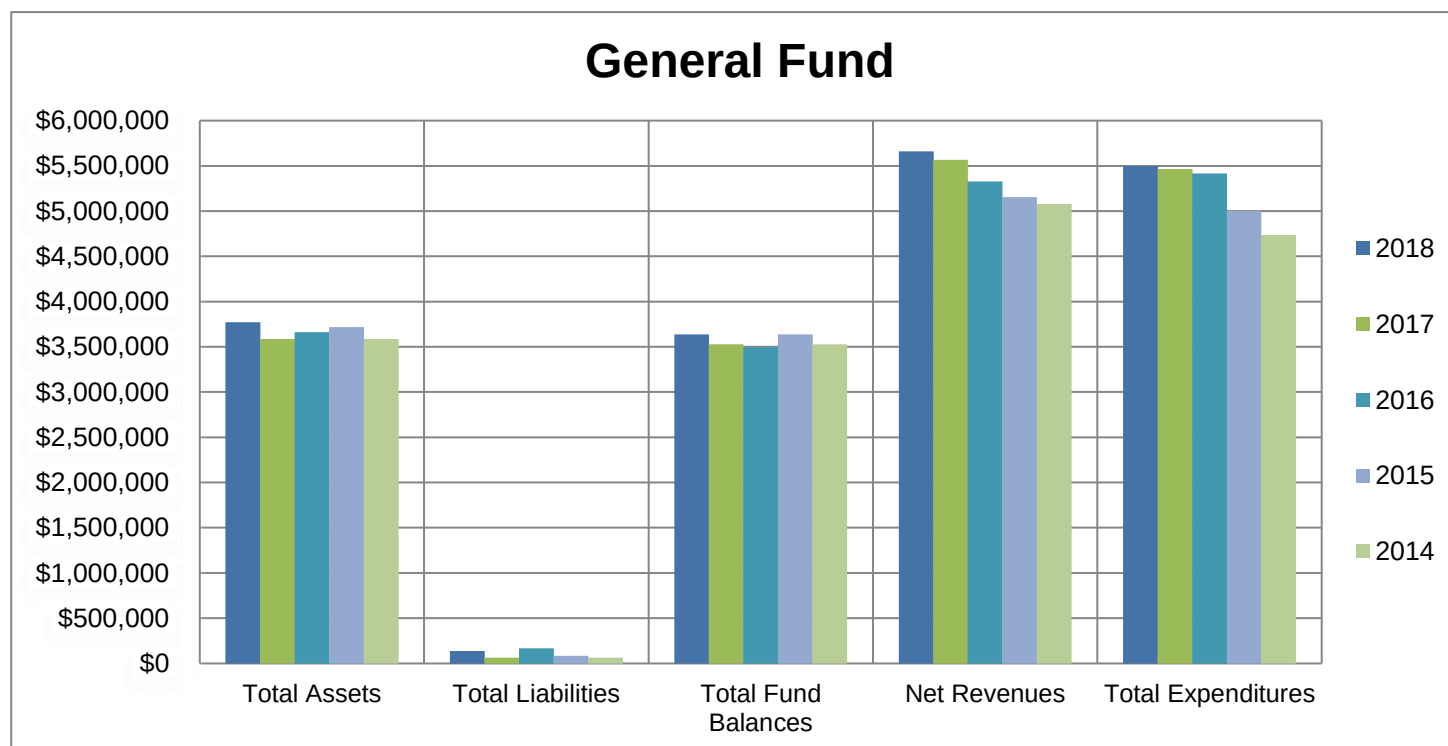
9. Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development, and subsequently, on March 11, 2014, for an additional seven year period. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,658,791 in 2018. Separate financial statements of the EDCCC are available at the Clark County Judge's Office, 401 Clay Street Arkadelphia, AR 71923.

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - GENERAL FUND - REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 3-1

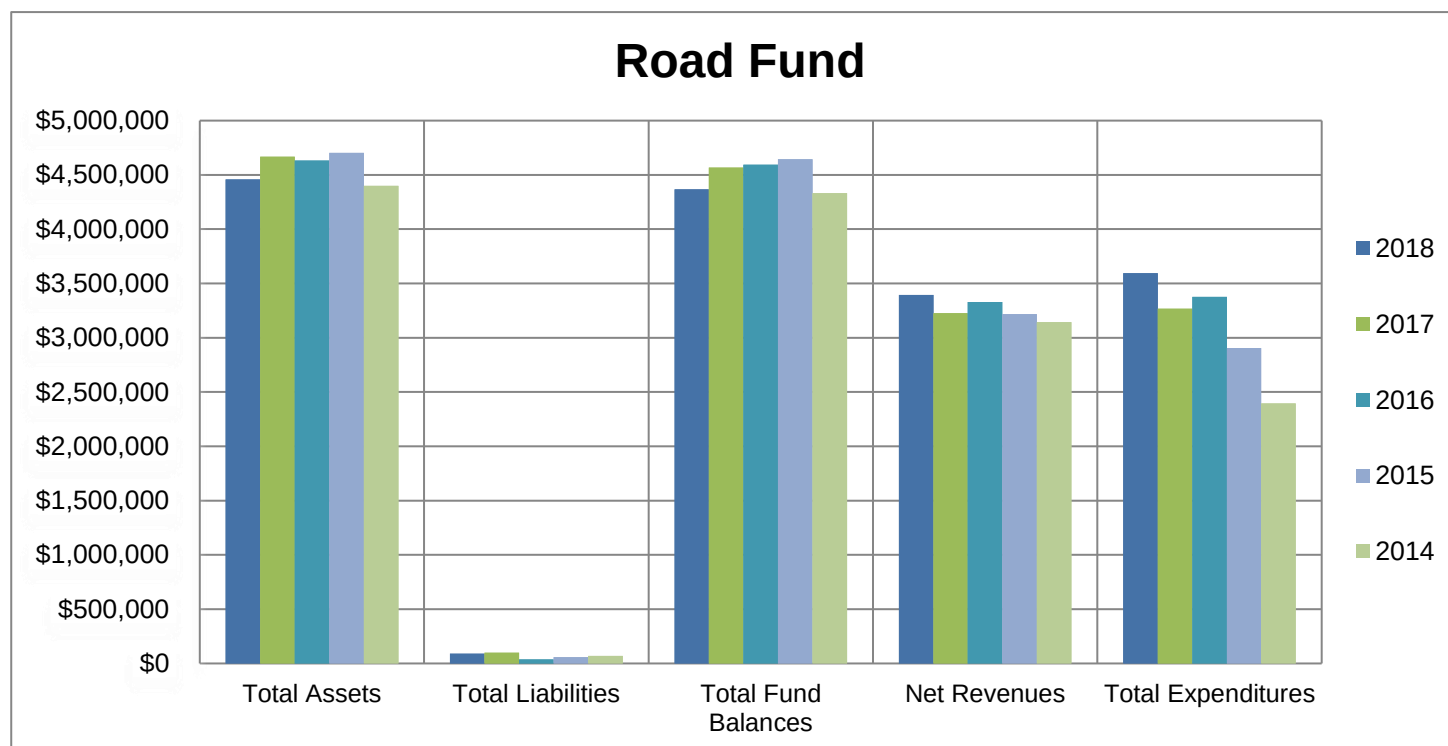
<u>General</u>	2018	2017	2016	2015	2014
Total Assets	\$ 3,769,599	\$ 3,586,334	\$ 3,660,254	\$ 3,716,347	\$ 3,585,598
Total Liabilities	135,245	63,163	165,916	83,521	60,967
Total Fund Balances	3,634,354	3,523,171	3,494,338	3,632,826	3,524,631
Net Revenues	5,656,984	5,566,107	5,325,003	5,150,737	5,076,316
Total Expenditures	5,495,236	5,462,246	5,412,491	5,000,567	4,736,137
Total Other Financing Sources/Uses	(50,565)	(75,028)	(51,000)	(36,738)	



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - ROAD FUND - REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 3-2

<u>Road</u>	2018	2017	2016	2015	2014
Total Assets	\$ 4,458,039	\$ 4,668,454	\$ 4,630,953	\$ 4,701,372	\$ 4,400,341
Total Liabilities	89,921	99,870	36,825	57,947	70,032
Total Fund Balances	4,368,118	4,568,584	4,594,128	4,643,425	4,330,309
Net Revenues	3,393,565	3,224,933	3,328,224	3,218,336	3,142,664
Total Expenditures	3,594,031	3,268,126	3,377,521	2,905,220	2,393,942
Total Other Financing Sources/Uses		17,649			



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - OTHER FUNDS IN THE AGGREGATE - REGULATORY BASIS
DECEMBER 31, 2018
(UNAUDITED)

Schedule 3-3

<u>Other Funds in the Aggregate</u>	2018	2017	2016	2015	2014
Total Assets	\$ 4,853,202	\$ 4,435,461	\$ 4,274,996	\$ 4,162,072	\$ 4,019,540
Total Liabilities	1,299,858	1,237,049	1,208,001	1,263,141	1,150,973
Total Fund Balances	3,553,345	3,198,412	3,066,995	2,898,931	2,868,567
Net Revenues	3,306,341	3,016,074	2,954,923	3,081,471	4,152,675
Total Expenditures	1,343,182	1,365,788	1,236,544	1,638,425	2,590,132
Total Other Financing Sources/Uses	(1,608,226)	(1,518,869)	(1,540,879)	(1,406,205)	(1,521,172)

